

the new PM. His statement, justin
"I personally don't think that there
a sustained effort to make the ordi-
an feel that it is his government and

soned Laid Prasad an family, pleading his
inability to "suffer corruption" any more.
The BJP elbowed Prasad out to take its place
beside Nitish Kumar to form a government.

state to the JD-U in return for support
at the Centre for the BJP. It will help both
of them if Assembly and Lok Sabha
elections are held together (Assembly

he is not, after all, Jagan...
cross. He has a government and he has man-
aged to live to fight another day. The question
is what will he do with the government now.

CH WITH BS ▶ AJAY SRINIVASAN, CEO, ADITYA BIRLA CAPITAL

f start-ups and scaling up

vasan tells Niraj Bhatt why the financial services firm chose to focus on small and
mum-size enterprises, digital and analytics

ay Srinivasan has started new busi-
nesses, entered new countries or
grown businesses in India or Asia in
decade career as CEO. But one thing
an hadn't done so far is deal direct-
regulators and investors as the CEO
ed company, which will soon change

Aditya Birla Group's financial services
s listed in the next few weeks.
Aditya Birla Nuvo's subsidiary, Aditya
Financial Services, was recently
d Aditya Birla Capital, and will be
ed from the new company that is
with the merger of Grasim and
Birla Nuvo. Srinivasan is excited
the next phase of growth for his com-
d his future when we meet for lunch
e Mekong, the Chinese restaurant at
egis Hotel in central Mumbai.

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Prudential, which was ranked 14th. His man-
date was to make it the largest private
sector asset management company after
market leader UTI. "We got there in a year
and a half," says Srinivasan. That is when
Prudential asked him to move to Hong Kong.

After running the asset management
business for Prudential, he was looking for
a more challenging role. "In 2007 I decided
I would come back to India and build a
financial conglomerate. The Aditya Birla
Group was the perfect place to create such a
business as it was a great brand and a great
platform. So it was easy to kind of start and
build from there. That's how this whole jour-
ney started," he says.

At Aditya Birla Group, Srinivasan is dif-
ferentiating his customer base from that of
conventional banks and financial services
firms. He is targeting the SME sector in a big
way, where the group provides loans, loans
against property, general insurance and
even wealth management services to the
entrepreneur. In home loans, banks domi-
nate the salaried employees segment, but
Srinivasan is targeting the self-employed.
"The opportunity is much larger compared
to the salaried segment, which is highly
competitive, while this market is under-pen-
etrated." He has also started the affordable
housing business targeting first-time home-
buyers. "We see that as a big growth engine
for the business," he says.

The group has also launched its health
insurance business since November 2016 —
and that space is also under-penetrated,
says Srinivasan. He is targeting two extreme
segments. One, people, 45 and above, who
typically have a pre-existing condition such
as diabetes, hypertension, cholesterol etc,
and most insurance companies don't cover
them. This is about 40-45 per cent of the
population that doesn't get covered today
because health insurance doesn't cover
them. And then there are the healthy young
who don't see value because they will not



first two choices were to teach economics or
join the civil services, but he got through
IIM, Ahmedabad. "I guess I started out in
financial services and never moved out of
that. A lot of these things happened, I had
never thought of them," he says.

He is one of the most experienced people
in India's mutual fund industry. "I have seen
the industry from 1993 to now and the
change has been phenomenal. I think the
acceptance of mutual funds has clearly
become much bigger than it has ever been
before and the most noteworthy thing for
me, though, is the systematic investment
plan, which has now become an integral
part of the industry."

The other pieces that he is excited about
are digital and data analytics. The Aditya
Birla Group has an end-to-end digital lend-
ing platform and its personal finance portal,
which allows users to aggregate their finan-
cial information in one place, has 3.5 million
users. With the aggregated data, it is able to
provide advice to users on mutual funds.
"It then becomes a multi-product platform
providing aggregation, advice and transac-
tion," he says. The company is using data
analytics to answer questions like what kind
of life insurance agent is likely to be more
successful, which parts of the country are
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Talent management is another area
where Srinivasan is investing time. "To be
able to build a business of this scale and to
get scalability in all our businesses we need
a talent pool, which is able to grow both
functionally as well as in leadership roles.
We have a talent council, which I chair,
and everybody over a certain level gets
reviewed," he says. These future leaders
are trained to step into bigger roles across
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Srinivasan is into sports and plays
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with the same values as that of the founder and the management. A somewhat paradoxical with the founder, while up and therefore control on the board, practically losing control of operations. Tragedy hits if the founder makes mistakes in selecting the successor who turns out to have different priorities, capabilities, style or values as compared to the founder and starts undoing the legacy of the predecessors. A similar challenge may crop up if there is lack of alignment within the owner family; in a recent case, the founder of a very large group took back the reins of leadership from his elder son when he realised that the son, a team of expensive new recruits, had started that he thought were core to the organisation. He did not do the due diligence to confirm that rational values, leadership potential and managed him. Founders and family business leaders not everyone can be an excellent operating officer off as strategists or simply as investors. Control, such as Dabur in India and Merck in appointed non-family leaders very carefully. have diluted their holding as part of business now the founder family to choose the CEOs so its and enjoy their trust. Several industry leader their group companies even though their quite modest. In the absence of capable successor family will lose management control as well. ents into the fourth quadrant it must focus on ents in the family and choose and promote values and orientation respectful to legacy.

Believe in legacy

to retain the proud legacy of a founder or a tall that he is passionate about the organisation, is likely to adhere to the core institutional and nurtured by the predecessors. Believing these, they should strengthen the basket of values. It is a necessary condition that is process of identifying and inducting a successor with stewardship values, right leadership and combined with an empowered board to propels an organisation sustain the legacy of the foundation of the founder.

and executive director of the Thomas Schmidheiny at the Indian School of Business. Roy is professor of Indian Institute of Management Calcutta

by with investors and investors as the CEO of a listed company, which will soon change as Aditya Birla Group's financial services arm gets listed in the next few weeks.

Aditya Birla Nuvo's subsidiary, Aditya Birla Financial Services, was recently renamed Aditya Birla Capital, and will be separated from the new company that is formed with the merger of Grasim and Aditya Birla Nuvo. Srinivasan is excited about the next phase of growth for his company and his future when we meet for lunch at By The Mekong, the Chinese restaurant at the St Regis Hotel in central Mumbai.

Srinivasan returned to India in 2007 to head the Aditya Birla Group's fledgling financial services business after a six-year-plus stint at UK's Prudential where he had set up a pan-Asia asset management company. Aditya Birla had five businesses of modest size when he became CEO; today, it has 12. "We are among the top five in life insurance, asset management, non-banking financial services, general insurance broking, and our MyUniverse website is the number one personal finance portal," says Srinivasan.

Our fresh lime and soda arrives and we order potatoes with shitake mushrooms, crystal vegetable dumplings and som tam salad. A vegetarian, Srinivasan is an expert on vegetarian food across Asia. Hong Kong is not a difficult place for vegetarians, but Korea and Taiwan are, he says.

After about three years as CEO at ICICI Prudential Mutual Fund, Srinivasan moved to Hong Kong to set up insurer Prudential's asset management business across Asia. Even as a late entrant, Srinivasan built a \$10-billion business across 10 countries in Asia through both organic and inorganic routes. "When I left we were the second-largest retail fund manager in the region," he says.

"I am excited about building something out of nothing and then bringing it to scale. To my mind, it is not only a challenge, but also a great thrill if you can do it," he says. After passing out of the Indian Institute of Management, Ahmedabad, in 1987, Srinivasan joined ICICI and moved to ITC Group's financial services division in 1991, where he established several businesses. In 1995, he moved to the group's mutual fund start-up ITC Threadneedle as deputy CEO. In 1998, he was appointed CEO of ICICI

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At Aditya Birla Group, Srinivasan is differentiating his customer base from that of conventional banks and financial services firms. He is targeting the SME sector in a big way, where the group provides loans, loans against property, general insurance and even wealth management services to the entrepreneur. In home loans, banks dominate the salaried employees segment, but Srinivasan is targeting the self-employed. "The opportunity is much larger compared to the salaried segment, which is highly competitive, while this market is under-penetrated." He has also started the affordable housing business targeting first-time homebuyers. "We see that as a big growth engine for the business," he says.

The group has also launched its health insurance business since November 2016 — and that space is also under-penetrated, says Srinivasan. He is targeting two extreme segments. One, people, 45 and above, who typically have a pre-existing condition such as diabetes, hypertension, cholesterol etc, and most insurance companies don't cover them. This is about 40-45 per cent of the population that doesn't get covered today because health insurance doesn't cover them. And then there are the healthy young who don't see value because they will not make a claim. "Our model tries to cater to these two values, and obviously we cater to the middle, too," says Srinivasan. "So from day one we will cover someone with a pre-existing disease, and we cover five pre-existing conditions," he adds.

The joint venture partner, MMI Holdings, a South African company, has the intellectual property to address both categories. It allows you to manage your condition over a period of time using technology like wearables and being connected to gyms, and if the insurer manages the condition, costs come down. For the healthy person,

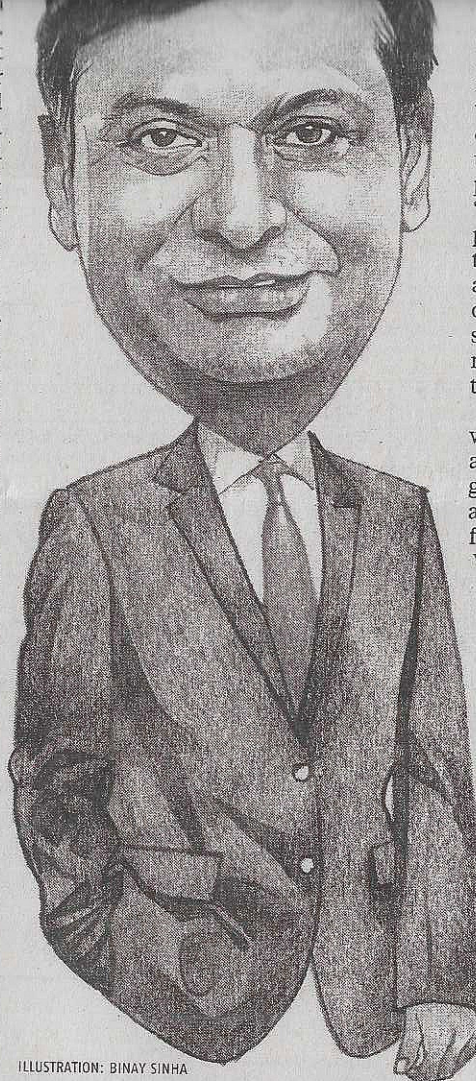


ILLUSTRATION: BINAY SINHA

Srinivasan has a new concept called "health return". If you buy the policy and you continue to remain healthy, up to 30 per cent of your premium is returned to you over and above the no-claim bonus.

Our main course of fried rice and stir fried vegetables is served. His favourite cuisine is Indian — he loves his *dal-roti* — with Chinese coming after Italian. I ask him how he chose management. "I chose economics over science but after that a lot of things have been kind of accidental," he says. His

The other pieces that he is excited about are digital and data analytics. The Aditya Birla Group has an end-to-end digital lending platform and its personal finance portal, which allows users to aggregate their financial information in one place, has 3.5 million users. With the aggregated data, it is able to provide advice to users on mutual funds. "It then becomes a multi-product platform providing aggregation, advice and transaction," he says. The company is using data analytics to answer questions like what kind of life insurance agent is likely to be more successful, which parts of the country are most susceptible to fraud, what kind of customer should it avoid etc.

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Srinivasan is into sports and plays the CEOs' cricket tournament every year. He also plays golf and swims and works out regularly. However, he laments the difficulty in putting together cricket teams for intra-office tournaments as the younger generation is not into playing sports.

We skip dessert, and he says he would like to write a book some day and has many ideas. One of them is on the mutual fund industry, which he has seen for 25 years, and the other is leadership as he has been "a CEO of CEOs" for a major part of his career. How does he coach his CEOs? "It is very different as you have to work

through two levels. If you are a CEO you still have some ability to direct things yourself. When you are working through a CEO you are one step away, and it requires a very different set of skills," he adds. He gives regular and event-based feedback and does not believe in half-yearly or quarterly discussions. "We have great demographics, and are the fastest growing large economy. And we save. All of which is great for financial services," he says as we leave the restaurant.

Army of overqualified housewives Those who live without doors

the government's Beti Padhao (educate daughters) diktat, more and more of our educated girls seem to be growing up to be overqualified housewives

work after she was married. "Of course she would," she exclaimed. "We'll ensure she goes to an enlightened family." Then she added, "Obviously, once she becomes a

Slightly older children played in the sand. Mothers who worked by day, woke to light kindling in makeshift stoves

protection against the monsoons. In the summer, they slept on the sidewalks,